

THE ROLE OF DIRECTORS DURING FINANCIAL DISTRESS



Introduction

Every business hopes to avoid a financial crisis, but economic realities often tell a different story. Rising inflation, declining revenues, regulatory changes, and unexpected market disruptions can place even well-established companies under significant financial pressure. When this happens, attention naturally turns to the company's directors.

A financial crisis is one of the most challenging periods in the life of a company. Decisions that may have seemed routine in more stable times suddenly carry far-reaching consequences. Employees worry about their jobs, creditors become concerned about repayment, investors seek reassurance, and management faces the difficult task of keeping the business afloat. In the midst of these competing interests, directors are expected to provide leadership, oversight, and strategic direction.

Under the Companies and Allied Matters Act 2020 (CAMA), directors are responsible for managing the affairs of a company and acting in its best interests. While these duties apply at all times, they become particularly important during periods of financial distress when the future of the business may depend on the quality of decisions made in the boardroom.

Directors' Duties During Financial Distress

A common misconception is that a financial crisis changes the duties owed by directors. It does not. What changes is the level of scrutiny under which those duties are performed. During difficult times, directors are expected to be more engaged, more informed, and more proactive in overseeing the affairs of the company.

The first responsibility of directors is to understand the company's financial position. This goes beyond simply reviewing financial reports. Directors must ask questions, seek clarification where necessary, and ensure they have a clear picture of the challenges facing the business. Decisions made without a proper understanding of the company's financial realities can have serious consequences.

Directors must also work closely with management to identify practical solutions. Depending on the circumstances, this may involve reducing costs, restructuring debt, renegotiating contracts, seeking additional financing, or exploring new business opportunities. However, while directors should support management during a crisis, they must also exercise independent judgment. Their role is not merely to approve management's recommendations but to challenge assumptions, assess risks, and ensure that proposed solutions are in the best interests of the company.

Another important consideration is the company's stakeholders. Financial crises affect more than just shareholders. Employees, customers, creditors, suppliers, and regulators all have an interest in the company's survival. Directors should therefore ensure that decisions are made responsibly and that stakeholders are treated fairly. As financial difficulties deepen, the interests of creditors become increasingly important, and directors must avoid actions that could unfairly prejudice them.

Communication is equally necessary during times of uncertainty. Silence often creates speculation and mistrust. Directors should ensure that stakeholders receive accurate and timely information about the company's circumstances and plans. Honest communication can help maintain confidence and support, even when difficult decisions must be made.

Importantly, directors must resist the temptation to focus solely on immediate survival. While managing today's financial crisis is essential, effective directors also keep an eye on the future. A company that survives a crisis but loses its long-term direction may still struggle to recover. Directors should therefore consider not only how to navigate the crisis but also how to position the business for growth once conditions improve.

Throughout this period, directors must continue to comply with their statutory and fiduciary duties. Proper records should be maintained, conflicts of interest should be avoided, and board decisions should be carefully documented. Seeking professional legal, financial, or restructuring advice may also be necessary where the circumstances warrant it.

As a result, the role of directors during a financial crisis is not simply to help a company survive. It is to guide the company through uncertainty in a manner that preserves value, maintains confidence, and creates a foundation for recovery when the crisis eventually passes.

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